

U.S. Multi Industry & Electrical Equipment

Quick Take: US Multis - Accelsius no longer guiding breakeven in 2026 ... a negative signal for two-phase cooling more broadly?



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Accelsius is a privately held company focusing on two-phase cooling, with investments from JCI and Legrand. Some public exposure is available through Innventure (INV) which holds a stake in the company. Recently, on the INV earnings call, the Accelsius CEO (John Hewitt, ex-Vertiv) joined to share a perspective on the outlook of the company. While management tone was optimistic, the objective financials were not, and INV is now down 50% in one day. **We believe this offers a signal on the outlook for the broader two-phase DTC cooling ecosystem.**

The crux of it came down to management pushing out Accelsius' breakeven to beyond 2026 (which implies that revenue is also likely lower than the \$100M run rate earlier guided). The reason for this was that management believes early adoption of nascent technologies like two-phase is usually done by smaller players, while larger customers (i.e., hyperscalers) follow suit after there is enough proof of value. However, they also highlighted that smaller players are resource constrained (power, land, GPUs), and this prevents them from testing out two-phase cooling and thereby delays the technology's broader market adoption. In addition, Accelsius also saw a large order linked to a data center build by DarkNX get delayed as the company lost the site they intended to build the facility on. Accelsius management then said that they are now pivoting their strategy to focus on hyperscaler partnerships and POCs, but highlighted that this will fundamentally take more time to materialize in revenue since hyperscalers do have longer planning cycles.

From our own conversations with players in the space, if there is a clear, technically-sound, scalable solution then hyperscalers will engage. We read into the longer timeline as concerning because it implies two-phase DTC just isn't far enough along to be implemented commercially. We have heard of engineering issues (e.g., backflow) that are yet to be resolved in two-phase ecosystems, and single-phase cooling seems to be more than sufficient to power data centers today. Accelsius is still piloting 250kW CDUs on their product brochure, when most single-phase units today are north of 2MW. And to add to this, we also have heard about CoolIT successfully proving the technology on [15kW single-phase cold plates](#) (offering 6x thermal headroom to today's TDPs), which limits the need for two-phase overall towards the end of the decade.

We have limited publicly available signals available on the debate between single-phase and two-phase cooling, but this print from INV does give us the sense that single-phase has a widening advantage. While we agree with the benefits that two-phase cooling offers, the lack of commercial traction we have seen is a strong signal that the technology just is not where it needs to be. We draw parallels between the debate that played out on DTC vs. immersion cooling a few years ago ... immersion cooling is theoretically the better option for heat transfer, but companies in the space just could not find a way to make it palatable to deploy at scale in a commercially viable manner. As things stand and based on this new information, we believe two-phase DTC will go the same way. We'd be curious to hear commentary in future earnings calls on the hyperscaler pilots that Accelsius has highlighted; progress in the form of real orders (followed by deployment) is the only signal that can change the narrative here.

INVESTMENT IMPLICATIONS

We rate JCI Outperform with a \$190 TP.

We rate TT Outperform with a \$575 TP.

We rate CARR Outperform with a \$78 TP.

We rate VRT Outperform with a \$368 TP.

We rate NVT Outperform with a \$229 TP.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	13 Aug 2026	Price Target	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
JCI (Johnson Controls)	O	USD	151.45	190.00	25.2%	USD	3.78	5.09	6.35	40.1	29.8	23.8
TT (Trane)	O	USD	477.69	575.00	(8.9)%	USD	13.06	15.28	17.79	36.6	31.3	26.8
CARR (Carrier)	M	USD	63.35	78.00	(25.1)%	USD	2.57	2.85	3.29	24.6	22.2	19.2
VRT (Vertiv)	O	USD	287.07	368.00	100.8%	USD	4.20	6.60	9.06	68.4	43.5	31.7
NVT (nVent)	O	USD	170.01	229.00	68.7%	USD	3.34	5.15	6.55	50.8	33.0	26.0
SPX			7,798.99									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Johnson Controls International PLC**

We value JCI using a 20x EV/EBITDA ratio and an NTM + 1 EBITDA estimate of \$5.3B to reach our target price of \$190.

Trane Technologies PLC

We value Trane at 22x NTM + 1 EBITDA of \$5.9B to reach our target price of \$575.

Carrier Global Corporation

We value Carrier using an 18x EV/EBIT ratio and an NTM + 1 EBIT estimate of \$4.04 B to reach our target price of \$78.

Vertiv Holdings Co

We value Vertiv at 27x NTM + 1 EBITDA of \$5.3B to reach our target price of \$368.

nVent Electric PLC

We used a SOTP approach to value NVT. For the EC business, we used NTM + 1 EBITDA of \$444M and an EV/EBITDA multiple of 17x. For the SP business, we use an NTM + 1 EBITDA of \$1,194M and an EV/EBITDA multiple of 26x. Based on these assumptions, we arrive at a fair value per share of \$229.

RISKS**Johnson Controls International PLC**

Downside: Lean transformation does not successfully cascade through org., Data center weakness from chiller headwinds, Operating leverage <50% based on management guidance

Trane Technologies PLC

Downside: (i) Price fixing lawsuit escalates for Trane, (ii) More players achieve similar level of product innovation in CDUs / broader liquid cooling, (iii) Residential / transport numbers deteriorate further than expected, (iv) Chiller headwinds (both sales and service) outweigh liquid cooling tailwind

Carrier Global Corporation

Upside: (i) Resi / light commercial cycle turns in the US (we think this is easily the biggest driver for Carrier looking ahead), (ii) Continued growth in data centers (we'd be especially impressed if this came from CDUs) (iii) Policy changes in the UK / Germany driving heat pump uptake

Downside: (i) Escalation of price fixing lawsuit (Carrier uniquely exposed), (ii) Slowing of data center CapEx by hyperscalers, (iii) Supply of R-410A does not tighten as expected / drags out for longer

Vertiv Holdings Co

Downside: (i) Efficiency increasing to the point where less cooling needed, (ii) Unexpected slowing of data center expansion, (iii) Faster than expected shift away from NVIDIA chips to custom silicon (impacts Vertiv because of strong relationships), (iv) Tech. shift away from DTC / 800 VDC if Vertiv can't react fast enough

nVent Electric PLC

Downside: (i) Faster than expected commoditization of CDUs / OCP makes them a commodity, (ii) Production line weakness for CDUs (given NVT is ramping), (iii) Longer than expected lead time to hire for key roles (e.g., open supply chain VP position)

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

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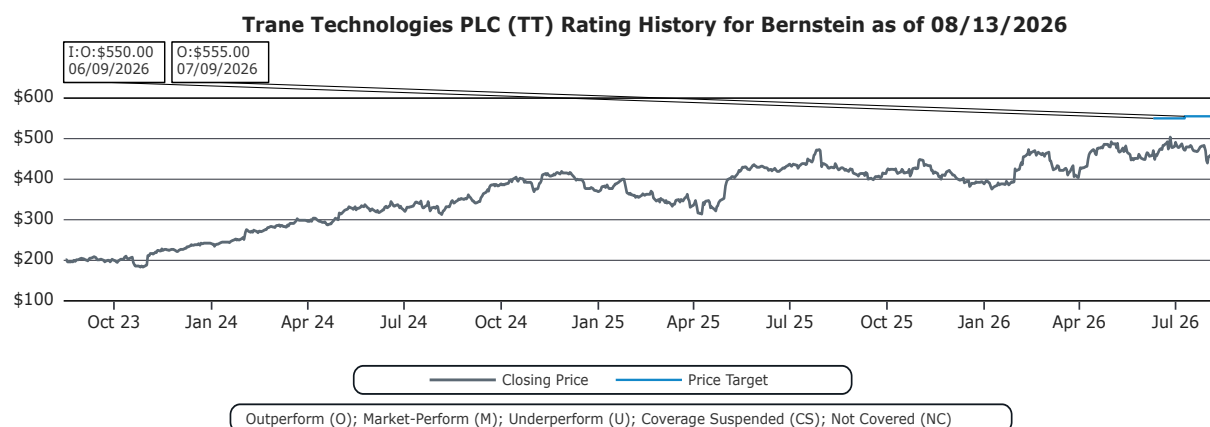
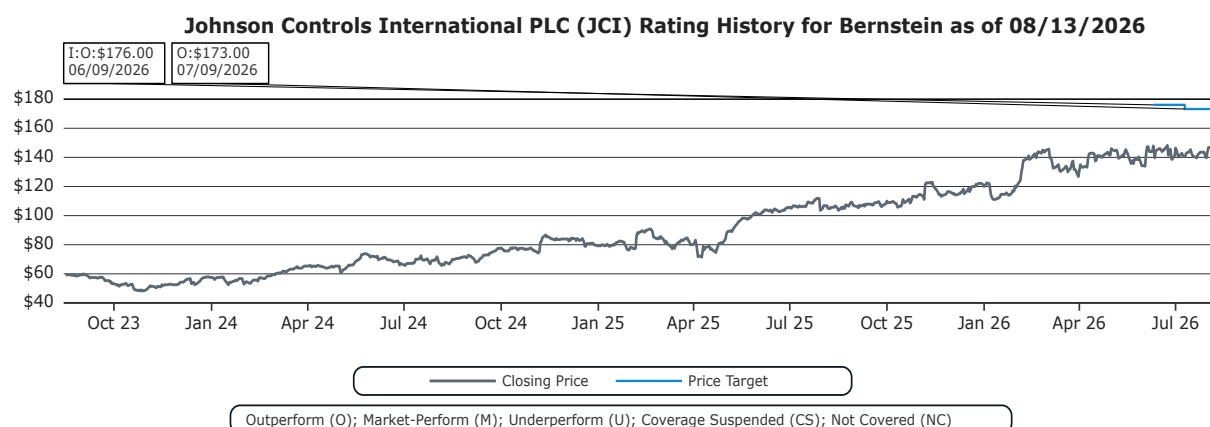
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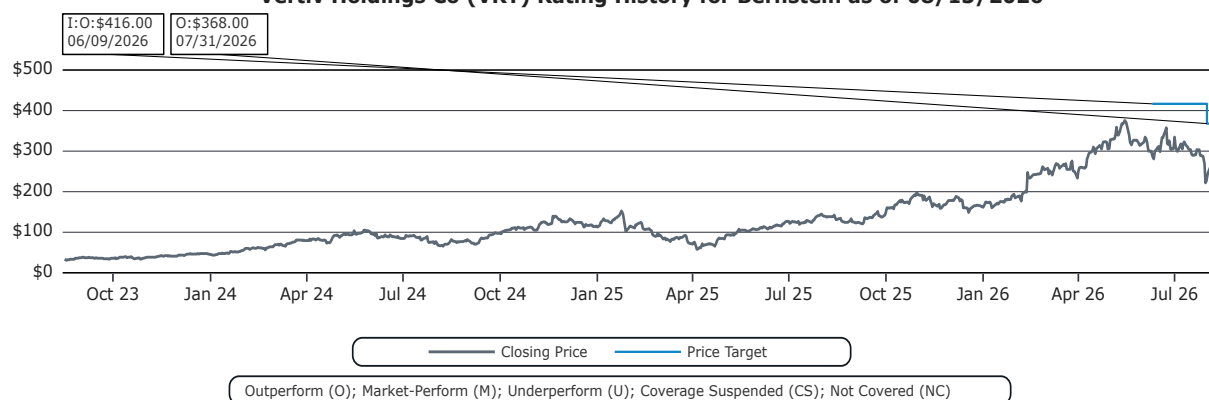
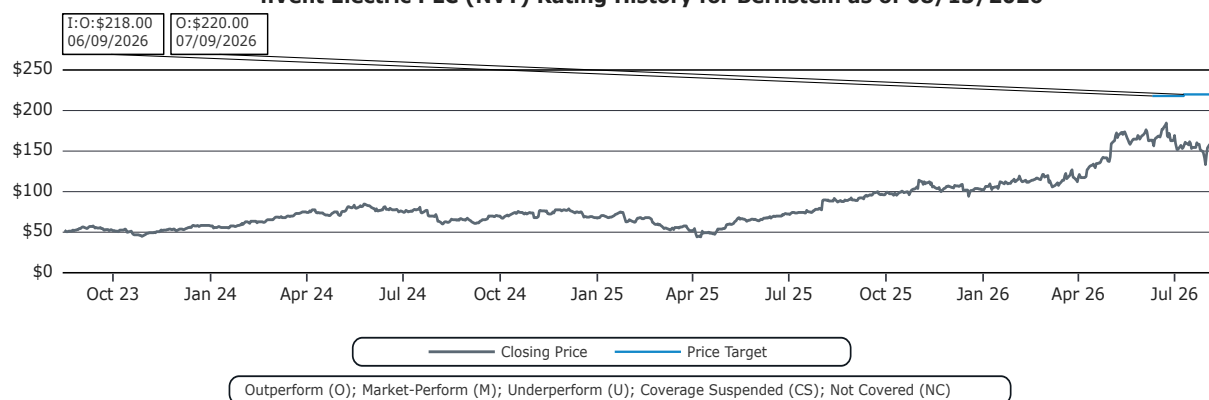
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